



FOR COMMUNITY BANK AND CREDIT UNION
LEADERS

A practical guide to *AI* for community banks and credit unions

Artificial intelligence (AI) is becoming part of the software your institution uses and the work your staff do. This guide walks through the decisions that come with it, from approving a new tool to explaining a lending decision. Start with the section closest to what you're working on.



01

When staff bring their own AI tools

THE CHALLENGE

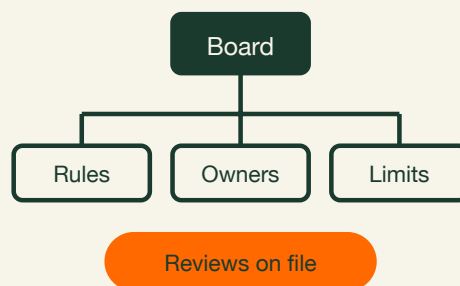
An employee wants to use a writing assistant

A colleague finds an AI tool that helps draft customer emails. Before using it at work, they need to know whether your institution allows it and which information they can share. Without that guidance, they may use it on their own or give up on a useful idea.

THE GUIDANCE

Agree on tools and data first

- Explain which tools staff may use and what information may go into them.
- Assign an owner to each system and agree with the board on the risks your institution will accept.
- Keep approvals and reviews in one place within the existing risk program.



02

AI in the software you already use

THE CHALLENGE

A vendor adds a feature

An update to your fraud platform or customer-management software includes AI. Your team may not have bought it separately, so it can be missing from the institution's AI inventory. The same goes for tools staff have started using themselves.

THE GUIDANCE

Include it in your vendor review

- Ask what AI features are available, which are enabled, and what data they can access.
- Include vendor features and staff-added tools alongside anything your institution has built.
- Prioritize uses that affect credit, sensitive customer data, or fair treatment.

In-house



Vendor features



Staff-added



Illustration, not measured data

03

Getting an AI pilot approved

THE CHALLENGE

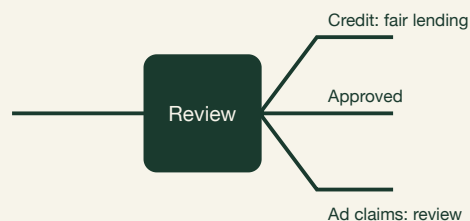
Compliance joins late in the pilot

A team is ready to launch, but compliance is only just hearing about the project. Questions about privacy or fair lending send the team back to work. An early review would have helped them plan for those requirements.

THE GUIDANCE

Set up the review before testing begins

- Give staff a contact for proposed AI uses and identify who needs to review each one.
- Match the legal, fairness, and privacy review to the proposed use.
- Agree on launch criteria. Include fair lending specialists for credit uses and advertising review for customer claims.



04

Checking a vendor's test results

THE CHALLENGE

The evidence comes from a different setting

A vendor's results can help you assess a model, but its tests may use different data or customers from yours. Before relying on the tool, your team needs evidence that it suits the work you intend to give it.

THE GUIDANCE

Test it on the work you plan to use it for

- Validate models before use, with testing proportionate to their risk.
- Review vendor evidence, test relevant cases, and record the limitations.
- Include support, model changes, and ongoing review in vendor management.



05

Explaining an AI-assisted credit decision

THE CHALLENGE

The decline notice gives a vague reason

A borrower receives a decline, but the notice doesn't explain what drove it. Your lending team needs to trace the decision and provide the required reasons. Using AI doesn't change the institution's fair lending or notice obligations.

THE GUIDANCE

Connect the notice to the decision

- Test for unfair outcomes and inputs that may stand in for protected characteristics.
- Check that the reasons in the notice reflect the actual decision.
- Meet applicable Equal Credit Opportunity Act (ECOA) and Fair Credit Reporting Act (FCRA) notice requirements and retain supporting records.

Principal reasons

1. Insufficient cash flow
2. Limited operating history
3. Recent credit delinquency

Match the actual decision

06

Helping customers when the chatbot falls short

THE CHALLENGE

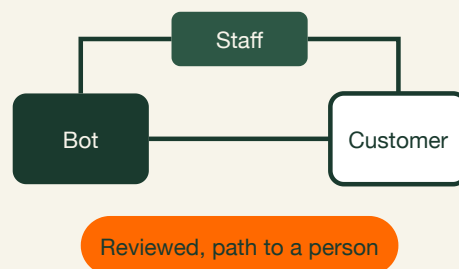
A customer gets the wrong fee information

The chatbot gives an incorrect answer about a fee. The customer then has to find someone who can resolve it, often repeating the conversation. A handoff that carries the context through helps staff take over.

THE GUIDANCE

Plan the handoff to staff

- Check answers against approved rates, fees, and terms, and define where human review is needed.
- Require human approval before AI takes a consequential action.
- Make it easy to reach staff and give them the conversation history they need.



07

Keeping track of AI after launch

THE CHALLENGE

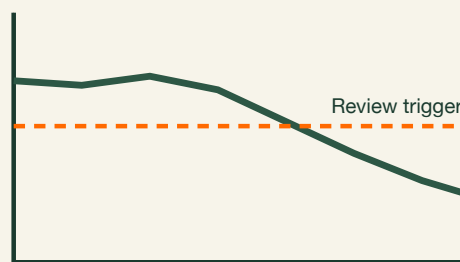
Staff start working around errors

A tool that passed testing begins making more mistakes. Staff correct them as they go, but nobody records the pattern. A change in the data or a vendor update may need attention beyond those individual fixes.

THE GUIDANCE

Give someone responsibility for follow-up

- Track performance and give staff a way to report errors and near misses.
- Set review triggers and name someone with authority to pause the tool.
- Test the fallback process before you need to pause or retire the system.



Illustrative performance trend

08

Updating your security plan for AI

THE CHALLENGE

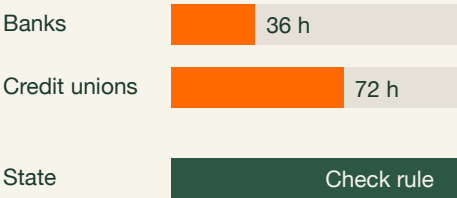
Impersonation and file access need attention

A caller can use an AI-generated voice to impersonate an executive. Inside your institution, an AI assistant can make overshared files easier to find. These are different risks, but both belong in your existing security planning.

THE GUIDANCE

Rehearse the response with your team

- Practice verifying unusual requests through a known contact, even when the voice sounds familiar.
- Review file permissions before enabling an AI assistant and use phishing-resistant sign-in protection.
- Record each regulator's reporting requirements, including what starts the clock and when notice is due.



Clock starts after a qualifying determination

09

Talking to customers about AI

THE CHALLENGE

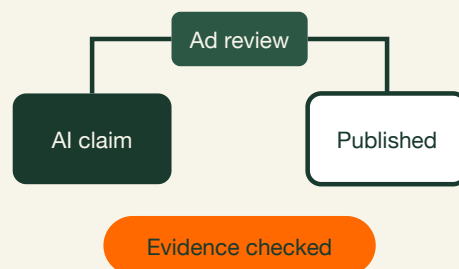
A draft promises more than the evidence shows

An announcement describes AI-assisted decisions as faster or fairer. Those claims need support before publication, whether a person or an AI tool wrote the draft. Customers will reasonably expect the service to match the description.

THE GUIDANCE

Use your advertising review process

- Keep evidence for each external claim about what the AI does.
- Review AI-drafted customer messages for accuracy before staff send them.
- Explain limitations that affect what customers can expect.



Working this into your next risk review

You can use these examples in the vendor, lending, and security reviews your institution already runs. Choose a tool you're using or considering, and work through the relevant sections with the people responsible for it.

Ask the person responsible for the tool to bring its approval record and latest review. Note any gaps and agree who will follow up.

The guide gives you the questions. We help with the answers: an inventory of the AI you already have, a design for what happens when it fails, and a check that what gets built matches that design.

Book a 30-minute working session on one tool you're about to approve:

calendar.app.google/oNGjY8ioWCqiTkfe7

Online version: **up-state-ai.com/ai-bank-story.html**